

As the 1950s concluded and the 1960s progressed, the field of experimental economics expanded, with numerous researchers publishing volumes of data. Their important experiments brought to light new aspects of human economic decision making and drew intellectual attention to the field. Concurrently, two more intellectual disciplines were emerging that would contribute to the genesis of behavioral finance: cognitive psychology and decision theory. Researchers in these subjects would build on concepts learned in experimental economics to further refine the concepts of modern behavioral finance.

Cognitive Psychology

Many scholars of contemporary behavioral finance feel that the field's most direct roots are in cognitive psychology. *Cognitive psychology* is the scientific study of cognition, or the mental processes that are believed to drive human behavior. Research in cognitive psychology investigates a variety of topics, including memory, attention, perception, knowledge representation, reasoning, creativity, and problem solving.

Cognitive psychology is a relatively recent development in the history of psychological research, emerging only in the late 1950s and early 1960s. The term *cognitive psychology* was coined by Ulrich Neisser in 1967, when he published a book with that title. The cognitive approach was actually brought to prominence, however, by Donald Broadbent, who published *Perception and Communication* in 1958.⁸ Broadbent promulgated the information processing archetype of cognition that, to this day, serves as the dominant cognitive psychological model. Broadbent's approach treats mental processes like software running on a computer (the brain). Cognitive psychology commonly describes human thought in terms of input, representation, computation or processing, and output.

As will be discussed later in this chapter, psychologists Amos Tversky and Daniel Kahneman would eventually create a theory—prospect theory—that is viewed as the intellectual foundation of BFMI. Tversky and Kahneman examined mental processes as they directly relate to decision making under conditions of uncertainty. We will look at this topic now, and then review the groundbreaking work behind prospect theory.

Decision Making under Uncertainty

Each day, people have little difficulty making hundreds of decisions. This is because the best course of action is often obvious and because many decisions do not determine outcomes significant enough to merit a great deal of attention. On occasion, however, many potential decision paths emanate,